M/s. Jayant V. Kolapkar & Co.

Chartered Accountants

"Ramseeta", 91/2, Near Bank of Maharashtra, Parvati, Pune – 411009
Contact: 020-24420011 Email: cajvkolapkar@gmail.com

INDEPENDENT AUDITOR'S REPORT

To,

The Members of Suruchi Dairy & Dairy Products Private Limited,
Pune.

Opinion

We have audited the accompanying financial statements of Suruchi Dairy & Dairy products Private Limited("the Company"), which comprise the Balance Sheet as at March 31, 2023, and the Statement of Profit and Loss and statement of cashflows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023, its profit (or Loss) and cash flows for the year ended on that date.

Basis for opinion

We conducted our audit in accordance with the standard on auditing specified under section 143 (10) of companies act, 2013. Our responsibilities under those Standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the code of ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provision of the Act and the rules thereunder, and We have fulfilled our other ethical responsibilities in accordance with these requirements and the code of ethics.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of financial statements of the current period. These matters were addressed in the context of our audit of financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Reporting of key audit matters as per SA 701, key audit matters are not applicable to the company as it is an unlisted company.

Emphasis of Matter

We draw your attention to clause no (ii) & (vii) of the CARO Report in Annexure A pertaining to inventories & payment of statutory dues.

The Company has made a detailed assessment of its liquidity position for the next year and the recoverability and carrying value of its assets comprising property, plant and equipment, investments, inventory, and trade receivables. Based on current indicators of future economic conditions, the Company expects to recover the carrying amount of these assets. The Company continues to evaluate them as highly probable considering the orders in hand.

Our opinion is not modified in respect of this matter.



Information other than the financial statements and auditors report thereon

The company's board of directors is responsible for the preparation of other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the financial statements and our auditors report thereon.

Our opinion on the financial statement does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements, or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those charged with Governance for Financial Statements

The Company's Board of Directors are responsible for the matters stated in Section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance of the Company in accordance with accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the company's ability to continue as going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intend to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The board of directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the audit of the financial statements

Our objective is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high-level assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatement can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit, we also

(A) Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

(B) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

(C) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

(D) Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

(E) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

1 **As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure A a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.**

2 **As required by Section 143(3) of the Act, we report that:**

(a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

(b) In our opinion, proper books of account as required by law have been kept by the Company, so far as appears from our examination of those books;

(c) The Balance Sheet and the Statement of Profit and Loss dealt with by this Report are in agreement with the books of account

(d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

(e) In our opinion, there are no matters that may have an adverse effect on the functioning of the Company.

M/s. Jayant V. Kolapkar & Co. * Chartered Accountants * M. No. 44878

(f) On the basis of the written representations received from the directors as on **31st March, 2023** taken on record by the Board of Directors, none of the directors is disqualified as on **31st March, 2023** from being appointed as a director in terms of Section 164 (2) of the Act.

(g) Since the Company's turnover as per last audited financial statements is less than Rs.50 Crores and its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification dated June 13, 2017; and

(h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us

i. The Company do not have pending litigations on its financial position in its financial statements.

ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

(i) i. The Management has represented that, to the best of it's knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s)/entity(ies), including foreign entities ('Intermediaries'), with the understanding, whether recorded in writing or otherwise, that the Intermediary has, whether directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

ii. The Management has represented that, to the best of it's knowledge and belief, no funds have been received by the Company from any person(s) / entity(ies),. including foreign entities, that the company has directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

iii. Based on the audit procedures which we have considered reasonable and appropriate in the circumstances and according to the information and explanations provided to us by the Management in this regard, nothing has come to our notice that has caused us to believe that the representations made by the Management under sub-clause (i) and (ii) above, contain any material misstatement.

(j) The Company has neither declared nor paid any dividend during the year.

3 In our opinion, according to information, explanations given to us, the provisions of Section 197 of the Act and the rules thereunder are not applicable to the Company as it is a private Company.

M/s.Jayant V. Kolapkar & Co.
FRN No.116037W
Chartered Accountants

M/s. Jayant V. Kolapkar & Co. ★ M. No. 44878 ★ Chartered Accountants

Jayant V.Kolapkar
Proprietor
Membership No.044878

Place: Pune
Date: 27th September 2023
UDIN: 23044878BGRZVJ8799

ANNEXURE A TO INDEPENDENT AUDITORS' REPORT

[Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' in the Independent Auditors' Report of even date to the members of Suruchi Dairy & Dairy Products Private Limited on the financial statements for the year ended **31st March 2023**]

(i) **Property, Plant and Equipment & Intangible Assets**

(a) (A) The company has maintained proper records showing full particulars including quantitative details and situation of Property, Plant and Equipment on the basis of available information.
(B) The company has maintained proper records showing full particulars of intangible assets during the financial year under review.

(b) Some of the fixed assets were physically verified during the year by the management and in accordance with a regular programme of verification which, in our opinion provides for physical verification of all the fixed assets at reasonable intervals. According to the information and explanations given to us no material discrepancies were identified on such verification.

(c) According to the information and explanations given to us and on the basis of Our examination of the records of the Company, the title deeds of immovable properties are held in the name of the Company.

(d) The company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.

(e) No proceedings have been initiated or are pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder. Hence it is not necessary to appropriately disclose the details in its financial statements.

(ii) **Inventories**

(a) The management has conducted physical verification of inventories at reasonable intervals during financial year under review. The coverage and procedure of such verification by the management is appropriate. Discrepancies of 10% or more in the aggregate for each class of inventory were not noticed on physical verification of inventory as compared to the book records. The discrepancies which were not material have been properly dealt with in the books of account.

(b) As stated in Note no. 34, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets during the year. We have observed differences in quarterly statements filed by the company with such banks as compared to books of accounts maintained by the Company. However, we have not carried out a specific audit of such statements. The details of such differences are given in note no. 34 of the financial statements of the company.

(iii) **Investments, Loans & Guarantees and Security for Loans**

The company has not made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnerships or any other parties. Hence the detailed information specified in Para 3(iii) of CARO 2020 cannot be furnished.

(iv) **Compliance with S. 185 & S. 186**

The contents of paragraph 3(iv) of CARO, 2020 are **not** applicable since the Company has not granted, during the financial year under review, loans, investments, guarantee or security covered by section 185 & section 186 of CA, 2013.

(v) **Deposits**

The contents of paragraph 3(v) of CARO, 2020 are not applicable since the Company has not accepted any deposits from public during the financial year under review. Hence the question of compliance with the directives issued by the Reserve Bank of India and the provisions of Sections 73 to 76 & any other relevant provisions of the CA 2013 and the rules framed thereunder, does not arise. No order has been passed by Company Law Board or National Company Law Tribunal or Reserve Bank of India or any court or any other tribunal in this regard.

(vi) **Cost Records**

The Central Government has prescribed maintenance of Cost Records under 148 (1) of The Companies Act, 2013. We have broadly reviewed the books of accounts maintained by the company pursuant to the rules made by the Central Government under section 148 (1) of The Companies Act, 2013 for maintenance of Cost Records and are of the opinion that prima facie the prescribed accounts & records have been made & maintained. However, we are not required to and have not carried out any detailed examination of such accounts and records.

(vii) **Payment of statutory dues**

(a) The Company is generally regular in depositing with the appropriate authorities undisputed statutory dues including Goods & Service Tax, provident fund, employees' state insurance, income-tax, sales-tax, service tax, customs duty, excise duty, value added tax, cess and other statutory dues applicable to it. As at the last day of the financial year, there are no arrears of undisputed statutory dues outstanding for a period of more than six months from the date those became payable except following:

Statement of arrears of statutory dues outstanding for more than 6 months as on 31.03.2023

Rs. in Lakhs

S. No	Name of the statute	Particulars of statute in which dues arises	Period to which Amount relates	Date of payment	Amount
1	Income Tax Act 1961	Self assessment tax	FY 2022-23	Not paid as on Audit report Date	23.47
2	Payment of Gratuity Act, 1972	Gratuity	FY 2019-20	Not paid as on Audit report Date	1.29
3	Payment of Gratuity Act, 1972	Gratuity	FY 2021-22	Not paid as on Audit report Date	1.50
4	Payment of Gratuity Act, 1972	Gratuity	FY 2022-23	Not paid as on Audit report Date	0.70

(b) According to the information and explanation given to us, there are no dues of income tax, sales tax, wealth tax, service tax, customs duty, excise duty, value added tax, cess and any other statutory dues which have not been deposited on account of any dispute.



(viii) **Unrecorded transactions surrendered in tax assessments**

During the year, in the tax assessments under the Income Tax Act, 1961 (43 of 1961), the Company has not surrendered or disclosed as income any transactions previously not recorded in the books of account.

(ix) **Default in repayment of bank loan**

(a) The company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

(b) The company has not been declared wilful defaulter by any bank or financial institution or other lender

(c) Term loans were applied for the purpose for which the loans were obtained.

(d) According to the information and explanations given and on overall examinition of balance sheet of the company, we report that the company has not used funds raised on short term basis for for long term purposes.

(e) The company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures.

(f) The company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies

(x) **Application of proceeds of public offer**

The contents of Paragraph 3(x) of CARO, 2020 are not applicable since -

(a) the Company has not raised money by way of initial public offer or further public offer (including debt instruments) during the financial year under review,

(b) the company has not made any preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the financial year under review,

(xi) **Fraud**

(a) No fraud by the company or on the company has been noticed or reported during the year,

(b) A report under sub-section (12) of section 143 of the Companies Act has not been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government,

(c) The auditor has considered whistle-blower complaints, if any, received during the year by the company.

(xii) **Nidhi Company**

The contents of Paragraph 3(xii) of CARO, 2020 are not applicable since the Company is not a Nidhi Company.

(xiii) **Related party transactions & compliance with S.177 & 188**

All the transactions with related parties are in compliance with Sections 177, if applicable, & 188 of the CA 2013 and details thereof have been disclosed in the financial statements as required by the applicable accounting standards.

(xiv) **Internal Audit**

As per Rule 13 of the Companies (Accounts) Rules 2014 issued by the Central Government u/s 138 of the CA, 2013, the Company is not required to appoint an internal auditor because -

(a) The Company is a private company

(b) The turnover of the Company during the preceding financial year was less than Rs.200 crores

(c) The Company's outstanding loans or borrowings from banks or public financial institutions did not exceed Rs.100 crores at any point of time during the preceding financial year.

(xv) **Non-cash transactions with directors etc. & compliance with S.192**

The contents of paragraph 3(xv) of CARO 2020 are not applicable since the company has not, during the financial year under review, entered into any non-cash transactions with directors or persons connected with him.

(xvi) **Compliance with S.45IA of RBI Act**

The contents of paragraph 3(xvi) of CARO 2020 are not applicable since -

(a) the company is not required to register itself with RBI under section 45IA of the RBI Act,

(b) the company has not conducted any Non-Banking Financial or Housing Finance activities without a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934;

(c) the company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India,

(d) the Group does not have a CIC

(xvii) **Cash losses**

The company has not incurred cash losses in the financial year under review and in the immediately preceding financial year

(xviii) **Resignation of statutory auditors**

The contents of paragraph 3(xviii) of CARO 2020 are not applicable since there has been no resignation of the statutory auditors during the year

(xix) **Material uncertainty about the company's capability of meeting its liabilities**

On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements, the auditor's knowledge of the Board of Directors and management plans, the auditor is of the opinion that no material uncertainty exists as on the date of the audit report that the company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date.

(xx) **Unspent CSR funds**

According to the information and explanations given to us, the provisions of section 135 of the Act are not applicable to the Company. Therefore the contents of paragraph 3(xx) of CARO 2020 are not applicable since there are no amounts that are required to be transferred to unspent Corporate Social Responsibity (CSR) account as at the end of the current financial year.

For M/s. Jayant V. Kolapkar & Co.
Firm's Reg. No-: 116037W
Chartered Accountants

Jayant V. Kolapkar
Proprietor
Membership No.044878

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

Place: Pune
Date: 27th September 2023
UDIN: 23044878BGRZVJ8799

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED
CIN:U15200PN2010PTC135411
Balance Sheet at 31st March 2023

(Rupees in "Lakhs")

Particulars	Note No	31 March 2023	31 March 2022
I. EQUITY AND LIABILITIES			
(1) Shareholders' Funds			
(a) Share capital	3	9.00	9.00
(b) Reserves and surplus	4	-300.38	-560.18
(c) Money received against share warrants	-	-	-
(2) Share application money pending allotment	-	-	-
(3) Non-current liabilities			
(a) Long term borrowings	5	233.97	403.97
(b) Deferred tax liability (Net)	-	-	-
(c) Other Long term liabilities	-	-	-
(d) Long term provisions	-	-	-
(4) Current liabilities			
(a) Short term borrowings	6	457.87	525.40
(b) Trade payables	7		
(A) total outstanding dues of micro enterprises and small enterprises.		0.00	0.00
(B) total outstanding dues of creditors other than micro enterprises and small enterprises.		63.52	58.92
(c) Other current liabilities	8	31.91	35.14
(d) Short-term provisions	9	47.27	17.44
TOTAL		**543.16**	**489.69**
II. ASSETS			
(1) Non-current assets			
(a) Property, Plant and Equipments and Intangible assets	10		
(i) Property, Plant and Equipment		370.08	412.54
(ii) Intangible assets		0.18	0.31
(iii) Capital Work-in-Progress		0.00	0.00
(iv) Intangible assets under development		0.00	0.00
(b) Non-current investment	11	5.00	5.00
(c) Deferred tax asset (net)	12	0.24	0.17
(d) Long term loans and advances	-		0.00
(e) Other non-current assets	13	0.31	0.31
(2) Current assets			
(a) Inventories	14	4.96	5.26
(b) Trade receivables	15	64.90	0.00
(c) Cash and cash equivalents	16	0.54	0.35
(d) Short-term loans and advances	17	96.95	65.74
(e) Other current assets	-	0.00	0.00
TOTAL		**543.16**	**489.69**
Contingent liabilities and commitments (to the extent not provided for)			

Corporate Information & Statement of Accounting Policies 1--2
The accompanying notes are an integral part of these financial statements.
As per our audit report of even date.
M/s. Jayant V. Kolapkar & Co.
FRN No.116037W
Chartered Accountants

M/s. Jayant V. Kolapkar & Co. * Chartered Accountants * M. No. 44878

Jayant V.Kolapkar
Proprietor
Membership No.044878
Date: 27th September 2023
UDIN: 23044878BGRZVJ8799

For & on behalf of the Board of Directors
SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

Bhairavnath R Kale
Managing Director
DIN- 01831361

Popatrao H Gawade
Director
DIN- 02787416

Prakash B Pawar
Director
DIN- 01092963

Rajendra P Gawade
Director
DIN- 01091843

Vijay B Thorat
Director
DIN- 01636246

Namdhau B Lanke
Director
DIN- 00838256

Tushar B Kale
Director
DIN- 01372604

Place: Pune
Date: 27th September 2023

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

CIN:U15200PN2010PTC135411

Profit and Loss Statement for the year ended 31 March 2023

(Rupees in "Lakhs")

		Note No	31 March 2023	31 March 2022
I.	Revenue from operations	18	744.30	559.08
II.	Other Income	19	1.69	0.50
III.	**Total Income (I+II)**		**746.00**	**559.58**
IV.	**Expenses:**			
	Cost of Raw Materials consumed	-	-	-
	Purchase of stock-in-trade	-	-	-
	Changes in inventories of finished goods, work in Progress	20	0.30	1.14
	Manufacturing expenses	21	365.71	224.77
	Employee benefits expense	22	77.72	71.03
	Finance cost	23	84.97	114.22
	Depreciation and amortization expense	24	42.60	48.60
	Other expenses	25	14.96	10.07
	Total expenses		**486.26**	**469.85**
V.	Profit/(Loss) before exceptional and extra-ordinary items and tax (III-IV)		259.74	89.73
VI.	Exceptional Items			
VII.	Profit/(Loss) before extra-ordinary items and tax (V-VI)		259.74	89.73
VIII.	Extra-ordinary items			
IX.	**Profit/(Loss) before tax (VII-VIII)**		**259.74**	**89.73**
X.	Tax expense			
	Current tax		43.36	14.00
	Mat credit entitlement		-43.36	-14.00
	Deferred tax		-0.06	-0.05
	Tax adjustment of earlier year		0.00	0.00
XI.	Profit/(Loss) for the period from continuing operations (IX-X)		259.81	89.78
XII.	Profit/(Loss) from discontinuing operations		0.00	0.00
XIII.	Tax expense of discontinuing operations		0.00	0.00
XIV.	Profit/(Loss) from discontinuing operations (after tax) (XIV-XV)		0.00	0.00
XV.	Profit (Loss) for the period		259.81	89.78
XVI.	Earnings per equity share (Amt. in "₹")			
	1. Basic	26	28.87	99.76
	2. Diluted	-	-	-

Corporate Information & Statement of Accounting Policies 1--2

The accompanying notes are an integral part of these financial statements.

As per our audit report of even date.

M/s. Jayant V. Kolapkar & Co.
FRN No.116037W
Chartered Accountants

M/s. Jayant V. Kolapkar & Co. ★ Chartered Accountants ★ M. No. 44878

Jayant V.Kolapkar
Proprietor
Membership No.044878
Place: Pune
Date: 27th September 2023
UDIN: 23044878BGRZVJ8799

For & on behalf of the Board of Directors
SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

Bhairavnath R Kale
Managing Director
DIN- 01831361

Popatrao H Gawade
Director
DIN- 02787416

Prakash B Pawar
Director
DIN- 01092963

Rajendra P Gawade
Director
DIN- 01991843

Vijay B Thorat
Director
DIN- 01636246

Namabhau B Lanke
Director
DIN- 00838256

Tushar B Kale
Director
DIN- 01372604

Place: Pune
Date: 27th September 2023

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

CIN:U15200PN2010PTC135411

(Rupees in "Lakhs")

Cash Flow Statement for the year ended	31-Mar-23	31-Mar-23	31 March 2022	31 March 2022
A) Cash Flow From Operating Activities				
Net Profit before Tax & Extraordinary Items		259.74		89.73
Adjustments for				
Depreciation	42.60		48.60	
Loss/(Profit) on Sale of Assets	0.00		-	
Interest Expenditure	84.97		114.22	
Dividend Received	-0.50		-0.50	
Interest Received	-1.19	125.88	0.00	162.33
Operating Profit before Working Capital Changes		**385.62**		**252.06**
Adjustments for				
Increase (Decrease) in Trade Payables	4.60		5.78	
Increase (Decrease) in Provisions	29.83		14.02	
Increase (Decrease) in short term borrowings			-61.12	
Increase (Decrease) in Other Current Liabilities	-3.23		-18.94	
(Increase) Decrease in Inventories	0.30		1.14	
(Increase) Decrease in Receivables	-64.90		182.22	
(Increase) Decrease in short term loans and advances	-31.21	-64.62	-33.43	89.66
Cash generated from Operations		**321.00**		**341.72**
Income Tax Paid				
Net Cash from Operating Activities (A)		**321.00**		**341.72**
B) Cash Flow from Investing Activities				
Purchase of Fixed Assets	-			
Sale of Fixed Asset	-			
Dividend Received	0.50		0.50	
Interest Received	1.19			
(Increase) Decrease in other Non-current assets	-			
(Increase) Decrease in other Non-current investments	-	1.69		0.50
Net Cash used in Investing Activities(B)		**1.69**		**0.50**
C) Cash Flow from Financing Activities				
Interest Paid	-84.97		-114.22	
Dividend Paid	-		0.00	
Proceeds from/(Repayment of) Long Term Borrowings	-170.00		-228.00	
Proceeds from/(Repayment of) Short Term Borrowings	-67.54	-322.51	0.00	-342.22
Net Cash used in Financing Activities(C)		**-322.51**		**-342.22**
Net increase/(decrease) in cash and cash equivalents (A+B+C)		0.19		-0.01
Cash and cash equivalents as at the beginning of the year		**0.35**		**0.36**
Cash & Cash Equivalents as at end of the year		**0.54**		**0.35**
As per BS		**0.54**		**0.35**

Corporate Information & Statement of Accounting Policies

The accompanying notes are an integral part of these financial statements.

As per our audit report of even date.

M/s.Jayant V. Kolapkar & Co.
FRN No.116037W
Chartered Accountants

Jayant V.Kolapkar
Proprietor
Membership No.044878
Place: Pune
Date: 27th September 2023

M/s. Jayant V. Kolapkar & Co. ★ Chartered Accountants ★ M. No. 44878

For & on behalf of the Board of Directors
SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

Bhairavnath R Kale	**Popatrao H Gawade**	**Prakash B Pawar**
Managing Director	**Director**	**Director**
DIN- 01831361	**DIN- 02787416**	**DIN- 01092963**
Rajendra P Gawade		**Vijay B Thorat**
Director		**Director**
DIN- 01091843		**DIN- 01636246**
Nanabhau B Lanke		**Tushar B Kale**
Director		**Director**
DIN- 00838256		**DIN- 01372604**

Place: Pune
Date: 27th September 2023

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

CIN-U15200PN2010PTC135411

(Rupees in "Lakhs")

Notes forming part of the Financial Statements for the year ended

		31 March 2023	31 March 2022
3	**Share capital**		₹
	Authorized		
	Equity share capital :		
	1,00,000 (March 2022 : 1,00,000) equity shares of Rs. 10 each	10.00	10.00
	Preference share capital		
	Total	10.00	**10.00**
	Issued, subscribed and paid up		
	90,000 (31 March 2022: 90,000) equity shares of Rs 10 each, fully paid-up	9.00	9.00
	Total	**9.00**	**9.00**

(a) Reconciliation of shares outstanding at the beginning and at the end of the year

i) Equity shares

Particulars	31 March 2023 Number of shares	31 March 2023 Amount	31 March 2022 Number of shares	31 March 2022 Amount
Outstanding at the beginning of the year	90,000	9.00	90,000	9.00
Add: Issued during the year	-		-	-
Less : Bought back during the year	-		-	-
Outstanding at the end of the year	**90,000**	**9.00**	**90,000**	**9.00**

(b) Shares in the company held by each shareholder holding more than 5 percent shares specifying the number of shares held

	31 March 2023 Number of shares	31 March 2023 Holding %	31 March 2022 Number of shares	31 March 2022 Holding %
1 Suruchi Dairy Industries Private Limited	89,999	100.00	89,999	100.00
Total	**89,999**	**100.00**	**89,999**	**100.00**

(c) Shares held by promotors at the end of the year

S. No	promoter name	No.of shares	% of total shares	No. of Shares	% of total shares	% change during the year
1	Suruchi Dairy Industries Private Limited	89,999	99.999	89,999	99.999	-
2	Bhairavnath R kale	1	0.001	1	0.001	-
	Total	**90,000**	**100.00**	**90,000**	**100.00**	

4	**Reserves and Surplus**				
	(a) Securities Premium Reserve				-
	(b) Surplus i.e. balance in Statement of Profit & Loss disclosing allocations and appropriations such as dividend, bonus shares and transfer to/from				
	1 Balance at the beginning of the reporting period		-560.18		-649.96
	2 Additions during the reporting period		259.81		89.78
	3 Deduction during the reporting period				0.00
	4 Balance at the end of the reporting period		-300.38		-560.18
	Total		**-300.38**		**-560.18**
5	**Long-Term Borrowings**				
	(a) Unsecured				
	(i) Loans and advances from related parties				
	(A) from shareholders				
	(i) Suruchi Dairy Industries Private Limited	233.97		403.97	
	(B) from directors	0.00		0.00	
	Total		**233.97**		**403.97**
6	**Short-term borrowings**				
	(a) Short-term borrowings secured				
	(b) Working capital loans from bank				
	(i) Mahanagar Bank -3166		457.87		525.40
	Secured against hypothecation of inventories & book debts and personal gurantee of the Directors				
	Total		**457.87**		**525.40**
8	**Other current liabilities**				
	(a) Statutory liabilities				
	1 TDS Payable	7.53		8.87	
	2 Professional tax payable	0.03		0.03	
	3 GST & Interest Payable	14.93	**22.49**	19.20	**28.20**
	(b) Other payables				
	1 Audit fees payable	9.42		6.94	
	2 Others	0.00	**9.42**	0.00	**6.94**
	Total		**31.91**		**35.14**
9	**Short-term provisions**				
	(a) Provision for employee benefits				
	1 Provident fund payable	0.38		0.38	
	2 Gratuity payable	3.49		3.00	
	3 ESI payable	0.05		0.06	
	(b) Provision for income tax (Net)	43.36	47.27	14.00	17.44
	Total		**47.27**		**17.44**

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

7 **Trade payables**

(Rupees in "Lakhs")

31 March 2023

Particulars	Not Due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	-	-	-	-	-
(ii) Others	-	29.97	33.55	-	-	63.52
(iii) Disputed dues – MSME	-	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-	-
Total	**-**	**29.97**	**33.55**	**-**	**-**	**63.52**

31 March 2022

Particulars	Not Due	Outstanding for following periods from due date of payment				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
(i) MSME	-	-	-	-	-	-
(ii) Others	-	58.87	0.05	-	-	58.92
(iii) Disputed dues – MSME	-	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-	-
Total	**-**	**58.87**	**0.05**	**-**	**-**	**58.92**



SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

Note : 10 Fixed Asset Schedule for the year ended 31/03/2023

(As Per Companies Act, 2013)

(Rupees in "Lakhs")

Particulars	Gross Block				Depreciation/ Amortisation				Net Block	
	As at 1.04.22	Additions	Deletion	As at 31.03.23	As at 1.04.22	Dep for the Year 2022-23	Deletion	As at 31.03.23	As at 31.03.22	As at 31.03.23
A) TANGIBLE FIXED ASSET										
BUILDINGS	355.54	0.00	0.00	355.54	164.46	10.84	0.00	175.30	191.08	180.24
FURNITURE & FIXTURES	22.18	0.00	0.00	22.18	18.75	0.62	0.00	19.37	3.43	2.81
PLANT & MACHINERY	809.82	0.00	0.00	809.82	607.63	28.16	0.00	635.79	202.19	174.03
ELECTRICAL INSTALLATIONS	103.29	0.00	0.00	103.29	87.44	2.85	0.00	90.29	15.85	13.00
TOTAL (A)	1290.83	0.00	0.00	1290.83	878.29	42.47	0.00	920.76	412.54	370.08
B) INTANGIBLE FIXED ASSET										
SOFTWARE	4.90	0.00	0.00	4.90	4.58	0.14	0.00	4.72	0.31	0.18
TOTAL (B)	4.90	0.00	0.00	4.90	4.58	0.14	0.00	4.72	0.31	0.18
TOTAL (A+B)	1295.73	0.00	0.00	1295.73	882.87	42.60	0.00	925.47	412.86	370.25

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

CIN:U15200PN2010PTC135411

Notes to the Balance Sheet as at	(Rupees in "Lakhs") 31 March 2023	31 March 2022
11 Non-current investments		
(a) Investment in Equity instruments		
(i) Mahanagar Co-operative Bank Shares	5.00	5.00
Total	**5.00**	**5.00**
12 Deferred tax liabilities / (Asset)		
The deferred tax liability comprises of the following:		
(a) Depreciation as per Income Tax Act	41.70	47.95
(b) Depreciation as per Companies Act	42.60	48.60
Timing difference between book and tax depreciation resulting in DTL /	-0.90	-0.66
Rate of Tax	**26.00%**	**26.00%**
Deferred Tax Liability / (Asset)	**-0.24**	**-0.17**
13 Other non current assets		
(a) Unsecured, considered good		
1 Security deposits	0.31	0.31
Total	**0.31**	**0.31**
14 Inventories		
(a) Stores	4.96	5.26
Total	**4.96**	**5.26**
Mode of valuation : Refer note 2.3		
16 Cash and cash equivalents		
(a) Balances with banks		
1 In current account	0.36	0.33
(b) Cash on hand	0.18	0.02
Total	**0.54**	**0.35**
17 Short term loans and advances		
(a) Balance with revenue authorities		
1 GST balance	2.42	0.53
2 VAT refund receivable	0.89	0.89
3 Income tax & TDS refund receivable	14.92	25.50
(b) Taxes paid in advances	5.00	9.15
(c) Mat credit entitlement	73.03	29.67
(d) Advance to suppliers	0.69	0.00
Total	**96.95**	**65.74**

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

15 **Trade Receivables**

(Rupees in "Lakhs")

31 March 2023

S. No	Particulars	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
(i)	Undisputed Trade receivables – considered good	64.90	-	-	-	-	64.90
(ii)	Undisputed Trade Receivables – considered doubtful	-	-	-	-	-	-
(iii)	Disputed Trade Receivables - considered good	-	-	-	-	-	-
(iv)	Disputed Trade Receivables -considered doubtful	-	-	-	-	-	-
	Total	**64.90**	**-**	**-**	**-**	**-**	**64.90**

31 March 2022

S. No	Particulars	Outstanding for following periods from due date of payment					Total
		Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
(i)	Undisputed Trade receivables – considered good	-	-	-	-	-	-
(ii)	Undisputed Trade Receivables – considered doubtful	-	-	-	-	-	-
(iii)	Disputed Trade Receivables - considered good	-	-	-	-	-	-
(iv)	Disputed Trade Receivables -considered doubtful	-	-	-	-	-	-
	Total	**-**	**-**	**-**	**-**	**-**	**-**

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

Suruchi Dairy and Dairy Products Pvt Ltd			
CIN:U15200PN2010PTC135411		(Rupees in "Lakhs")	
Notes to the Profit and Loss Statement for the year ended 31 March 2023		31-Mar-23	31 March 2022
18	**Revenue from Operations**		
	(a) Sale of products	-	-
	(b) Sale of services	744.30	559.08
	(c) Other operating revenues	-	-
	Total at the end of the reporting period	**744.30**	**559.08**
19	**Other income**		
	(a) Interest income	1.19	-
	(b) Dividend Received	0.50	0.50
	(c) Net gain/loss on sale of investments	-	-
	(d) Other non-operating income (net of expenses directly attributable to such income)	-	-
	Total at the end of the reporting period	**1.69**	**0.50**
20	**Changes in inventories of finised goods, Work-in-progress and**		
	(a) Inventories at the beginning of the year:		
	(i) Stores	5.26	6.40
	Total (a)	**5.26**	**6.40**
	(b) Inventories at the end of the year:		
	(i) Stores	4.96	5.26
	Total (b)	**4.96**	**5.26**
	Net (Increase)/Decrease	**0.30**	**1.14**
21	**Manufacturing expenses**		
	(a) Firewood purchase	53.61	108.42
	(b) Electricity expenses	212.10	116.35
	Total at the end of the reporting period	**265.71**	**224.77**
22	**Employee Benefit Expense**		
	(a) Salaries and wages	74.15	66.16
	(b) Contribution to provident and other funds	3.50	4.87
	(c) Staff welfare expenses	0.06	-
	Total at the end of the reporting period	**77.72**	**71.03**
23	**Finance Costs**		
	(a) Interest expense		
	(i) Bank loan	45.95	52.87
	(ii) Other	38.98	61.30
	(iii) Taxes	-	-
	(b) Other borrowing cost :		
	(i) Bank guarantee & Agreement charges	0.05	0.06
	(ii) Loss on foreign currency transaction	-	-
	Total at the end of the reporting period	**84.97**	**114.22**

M/s. Jayant V. Kolapkar & Co. * Chartered Accountants * M. No. 44878

24	**Depreciation and amortization expense**		
	(a) Depreciation expense	42.60	48.60
	(b) Amortization expense	-	-
	(c) Provision for impairment	-	-
	Total at the end of the reporting period	**42.60**	**48.60**
25	**Other expenses**		
	(a) Rent	2.16	2.16
	(b) Rates & Taxes	0.05	0.07
	(c) Insurance	3.73	3.42
	(d) Legal & professional fees	0.51	0.42
	(e) Auditor's remuneration		
	(i) Audit fees	2.75	2.25
	(ii) Other Services	-	-
	(iii) Reimbursement of out of pocket expenses	-	-
	(f) Miscellaneous expenses	5.76	1.76
	Total at the end of the reporting period	**14.96**	**10.07**
26	**Earnings Per Share (EPS):**		
	Earnings per share is calculated in accordance with the AS 20		
	Particulars		
	Profit after tax (₹)	2,59,80,521.95	89,78,300.82
	Number of Equity shares	9,00,000.00	90,000.00
	Nominal Value of Equity Share (₹)	10.00	10.00
	Basic and Diluted Earnings Per Share (₹)	28.87	99.76

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED
CIN:U15200PN2010PTC135411

Notes forming part of the Financial Statements for the year ended 31st March, 2023 (Rupees in "Lakhs")

27 Related party disclosures

In accordance with the requirement of Accounting Standard (AS)- 18 on "Related Party Disclosures" the names of the related parties where control exists /able to exercise significant influence along with the aggregate transactions/year end balances with them as identified and certified by the management are given below:

A. Names of the Related Parties and Related Party Relationship

1 Related parties where control exists

i Key management personnel

1 Bhairavnath Rangnath Kale
2 Tushar Bhairavnath Kale
3 Nanbhau Bhaurao Lenke
4 Rajendra Popatrao Gawade
5 Prakash Babasaheb Pawar
6 Vijay Bhanudas Thorat
7 Popatrao Hariba Gawade

ii Enterprises owned or significantly influenced by key management personnel or their relatives

(i) Suruchi Dairy Industries Pvt Ltd

iii Relatives of key management personnel

1 Prakash Babaji Kawad

B. Transactions carried out with related party during the year :

1	Particulars	31 March 2023	31 March 2022
	Interest Paid to Loan Received from Holding Company		
i	Suruchi Dairy Industries Pvt Ltd	38.98	61.30
	Total	**38.98**	**61.30**

2	Particulars	31 March 2023	31 March 2022
	Reimbursement of expenditure		
i	Suruchi Dairy Industries Pvt Ltd	250.92	118.51
	Total	**250.92**	**118.51**

3	Particulars	31 March 2023	31 March 2022
	Employee Benefit Expenses		
i	Prakash Babaji Kawad	14.40	11.55
	Total	**14.40**	**11.55**

4	Particulars	31 March 2023	31 March 2022
	Sale of Goods / Services		
i	Suruchi Dairy Industries Private Limited	878.28	659.72
	Total	**878.28**	**659.72**

C. Balances with related party at the year end :

	Particulars	31 March 2023	31 March 2022
1	**Inter-corporate loan received from holding company**		
	Suruchi Dairy Industries Private Limited	233.97	403.97
	Total	**233.97**	**403.97**

	Particulars	31 March 2023	31 March 2022
2	**Trade Payables**		
	Suruchi Dairy Industries Private Limited	29.97	0.00
		29.97	**0.00**

	Particulars	31 March 2023	31 March 2022
3	**Trade Receivables**		
	Suruchi Dairy Industries Private Limited	64.90	9.42
		64.90	**9.42**

	Particulars	31 March 2023	31 March 2022
4	**Staff Salary Payable**		
	Prakash Babaji Kawad	0.09	0.86
		0.09	**0.86**

M/s. Jayant V. Kulapkar & Co. * Chartered Accountants * M. No. 44878

Notes forming part of the Financial Statements for the year ended 31st March, 2023 (Rupees in "Lakhs")

28 Title deeds of Immovable Property not held in name of the Company: 31-Mar-23

The title deeds of all the immovable properties as disclosed in Note 10 of the financial statements, are held in the name of the Company.

29 Revaluation of items of PPE:

The Company's Property, Plant and Equipments have not been revalued. Hence the details specified in Para 6(Y)(ii) of Division I of the General Instructions for preparation of balance sheet in Schedule III to Companies Act, 2013 are not stated.

30 Loans or Advances in the nature of loans granted to promoters, directors, KMPs and the related parties either severally or jointly with any other

The Company has not granted to promoters, directors, KMPs and the related parties either severally or jointly with any other person, any loans or advances in the nature of loans. Hence the details specified in Para 6(Y)(iii) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

31 Capital work in progress:

The Company has no capital work in progress.
There is no capital work in progress whose completion is overdue or whose cost has exceeded the cost as per original plan.
Hence the details specified in Para 6(Y)(iv) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

32 Intangible assets under development:

The Company has no intangible assets under development
There are no intangible assets under development whose completion is overdue or whose cost has exceeded the cost as per original plan.
Hence the details specified in Para 6(Y)(v) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

33 Benami Property held and proceedings initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder:

The Company does not hold any benami property. There are no proceedings initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder.
Hence the details specified in Para 6(Y)(vi) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

34 Borrowings from banks or financial institutions on the basis of security of current assets:

The company has borrowed any funds from banks or financial institutions as on 31.3.23. Data provided to the bank was based on unaudited financials. Physical verification of inventories was conducted and the same is considered for Audit. Hence difference is as mentioned below:

Quarter	Name of bank	Particulars of Securities Provided	Amount as per books of account	Amount as reported in quarterly return/statement	Amount of difference*
Jun-22	GS Mahanagar Co-Op Bank Ltd	Inventories	5.26	390.22	-384.96
Jun-22	GS Mahanagar Co-Op Bank Ltd	Book Debts	8.64	394.01	-385.38
Sep-22	GS Mahanagar Co-Op Bank Ltd	Inventories	5.26	425.47	-420.21
Sep-22	GS Mahanagar Co-Op Bank Ltd	Book Debts	71.19	254.95	-183.76
Dec-22	GS Mahanagar Co-Op Bank Ltd	Inventories	5.26	383.96	-378.70
Dec-22	GS Mahanagar Co-Op Bank Ltd	Book Debts	132.05	200.66	-68.61
Mar-23	GS Mahanagar Co-Op Bank Ltd	Inventories	4.96	321.27	-316.31
Mar-23	GS Mahanagar Co-Op Bank Ltd	Book Debts	64.90	293.86	-228.96

35 Wilful defaulter:

The company has not been declared a wilful defaulter by any bank or financial institution or other lender.
Hence the details specified in Para 6(Y)(viii) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

36 Relationship with Struck off Companies:

The company has no transactions with companies struck off under section 248 of the Companies Act, 2013 or section 560 of Companies Act, 1956.
Hence the details specified in Para 6(Y)(ix) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

37 Registration of charges or satisfaction with Registrar of Companies:

There are no charges or satisfaction yet to be registered with Registrar of Companies beyond the statutory period.
Hence the details specified in Para 6(Y)(x) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

38 Compliance with number of layers of companies

The Company has no subsidiaries.
Hence the details specified in Para 6(Y)(xi) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

39 Compliance with approved Scheme(s) of Arrangements

The company has not entered into any scheme of arrangements in terms of sections 230 to 237 of the Companies Act, 2013.
Hence the details specified in Para 6(Y)(xiii) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

M/s Jayant V. Kolapkar & Co. Chartered Accountants M.No. 44878

40 Utilisation of Borrowed funds and share premium

The Company has not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall

(i) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

(ii) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

Hence the details specified in Para 6(Y)(xiv) of Division I of the General Instructions for preparation of balance sheet in Schedule III to CA 2013 are not stated.

41 Undisclosed income

The Company has not surrendered or disclosed any income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).

Hence, the details of any transaction not recorded in the books of account, specified in Para 5(ix) of Division I of the General Instructions for preparation of statement of profit and loss in Schedule III to CA 2013, are not stated.

42 Corporate Social Responsibility (CSR)

The provisions of S.135 of the CA, 2013, are not applicable to the Company since during the immediately preceding year

(i) the net worth of the Company is less than Rs.500 crores

(ii) the turnover of the Company is less than Rs.1,000 crores

(iii) the net profit of the Company is less than Rs.5 crores

Hence, the details of CSR expenses, specified in Para 5(x) of Division I of the General Instructions for preparation of statement of profit and loss in Schedule III to CA 2013, are not stated.

43 Details of Crypto Currency or Virtual Currency

The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.

Hence, the details of Crypto Currency or Virtual Currency, specified in Para 5(xi) of Division I of the General Instructions for preparation of statement of profit and loss in Schedule III to CA 2013, are not stated.

44 Previous year's figures have been regrouped and rearranged wherever necessary.

45 The Company has not received intimation from suppliers regarding the status under Micro, Small & Medium Enterprises Development Act 2006 and based on the information available with the company there no dues to Micro, Small and Medium Enterprises.

As per our audit report of even date.
M/s. Jayant V. Kolapkar & Co.
FRN No.116037W
Chartered Accountants

M/s. Jayant V. Kolapkar & Co. Chartered Accountants M. No. 44878

Jayant V.Kolapkar
Proprietor
Membership No.044878
Place: Pune
Date: 27th September 2023
UDIN: 23044878BGRZVJ8799

For and on behalf of the Board of Directors of
SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

Bhairavnath R Kale
Managing Director
DIN- 01831361

Popatrao H Gawade
Director
DIN- 02787416

Prakash B Pawar
Director
DIN- 01092963

Rajendra P Gawade
Director
DIN- 01091843

Vijay B Thorat
Director
DIN- 01636346

Nanabhau B Lanke
Director
DIN- 00838256

Tushar B Kale
Director
DIN- 01372604

Place: Pune
Date: 27th September 2023

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED
CIN:U15200PN2010PTC135411
Notes forming part of the Financial Statements for the year ended 31st March, 2023

46 Ratios

(Rupees in "Lakhs")

S No.	Ratio	Formula	31 March 2023		31 March 2022		Ratio as on	Ratio as on	Variation	Reason (If variation is more than 25%)
			Numerator	Denominator	Numerator	Denominator	31 March 2023	31 March 2022		
(a)	Current Ratio	Current Assets / Current Liabilities	167.30	600.57	71.35	636.91	0.28	0.11	148.74%	Trade receivables are o/s at the end of current year & Repayment of short term borrowing
(b)	Debt-Equity Ratio	Total Debt / Shareholder's Equity	691.93	-291.38	928.37	-551.18	(2.37)	(1.69)	40.82%	Repayment of Short trem & log term borrowing & decrease in negative equity due to profit of current year.
(c)	Debt Service Coverage Ratio	Earnings available for debt service / Debt Service	387.33	322.46	191.26	341.99	1.20	0.56	114.79%	Repayment of inter-corporate loan received from Holding Company & increase in profit of current year compared to last year figure.
(d)	Return on Equity Ratio	Profit after tax less pref. Dividend x 100 / Shareholder's Equity	259.81	-291.38	89.78	-551.18	(0.89)	(16.29)	-94.53%	Improvement in Ratio due to Increase in Profits during the year & Decrease in negative networth compared to last year.
(e)	Inventory Turnover Ratio	Cost of Goods Sold OR Sales / Average Inventory	744.30	5.11	559.08	5.83	145.60	95.88	51.85%	Improvent in Ratio due to Increase in Sales Compared to Previous Financial Year
(f)	Trade Receivables Turnover Ratio	Net Credit Sales / Average Accounts Receivables	744.30	32.45	559.08	91.11	22.94	6.14	273.79%	Improvement is on account of better collection during the year
(g)	Trade Payables Turnover Ratio	Net Credit Purchases / Average Trade Payables	358.38	61.22	305.88	56.03	5.85	5.46	7.24%	Not applicable
(h)	Net Capital Turnover Ratio	Net Sales / Average Working Capital	744.30	-499.38	559.08	-520.72	(1.49)	(1.07)	38.82%	Increase in sales & decrease in working capital during the year.
(i)	Net Profit Ratio	Net Profit / Net Sales * 100	259.81	744.30	89.78	559.08	34.91	16.06	117.36%	Increased due to increase in Revenue & Increase in Profits during the year
(j)	Return on Capital Employed (ROCE)	EBIT / Capital Employed *100	344.67	-57.41	203.90	-147.21	(600.37)	(138.51)	333.46%	ROCE increased due to increase in profits for the year.
(k)	Return on Investment	Net Profit / Net Investment *100	259.81	-291.38	89.78	-551.18	(89.17)	(16.29)	447.39%	Improvement Due to Increase in profits for the year.

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SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

FIXED ASSETS SCHEDULE AS ON 31/03/2023

(AS PER INCOME TAX ACT)

(Rupees in "Lakhs")

As Per INCOME TAX	Rate	Opening Balance	Additions		Delition		Subsidy Recd	Total	Dep.	Additional Dep	Closing Balance
			Ist Half	II nd Half	Ist Half	II nd Half					
Computer & Software	40.00%	0.27	-	-	-	-	-	0.27	0.11	-	0.16
Furnitures & Fixtures	10.00%	46.77	-	-	-	-	-	46.77	4.68	-	42.10
Building	10.00%	131.23	-	-	-	-	-	131.23	13.12	-	118.11
Plant & Machinery	15.00%	158.61	-	-	-	-	-	158.61	23.79	-	134.82
TOTAL		**336.89**	-	-	-	-	-	**336.89**	**41.70**	-	**295.19**

M/s. Jayant V. Kolapkar & Co. * Chartered Accountants * M. No. 44878

SURUCHI DAIRY & DAIRY PRODUCTS PRIVATE LIMITED

CIN:U15200PN2010PTC135411

Notes to the financial statements for the year ended **31-Mar-23**

1 **Corporate Information:**

Suruchi Dairy and Dairy Products Private Limited' is a private limited company domiciled in India and incorporated under the provisions of the Companies Act,1956. The Company is engaged in the business of production and trading of milk and milk products.

As per Rule 7 of the Companies (Accounts) Rules 2014, the standards of accounting as specified under the Companies Act, 1956 (1 of 1956) shall be deemed to be the accounting standards until accounting standards are specified by the Central Government u/s 133 of the Act.

Rule 3 (1) of the Companies (Accounting Standards) Rules, 2006, made by the Central Government u/s 642 (1) read with Section 211(3C) and Section 210A(1) of the Companies Act, 1956, as amended by the Companies (Accounting Standards) Amendment Rules 2016, provides that the accounting standards recommended by the Institute of Chartered Accountants of India (ICAI) specified in the annexure to the said Rules shall come into effect in respect of accounting periods commencing on or after the publication of these accounting standards.

2 **Basis of Preparation of Financial Statements**

These financial statements comply in all material respects with the relevant provisions of the Act, the Generally Accepted Accounting Principles in India, including the Accounting Standards issued by the Institute of Chartered Accountants of India which are specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. As required by AS 1 issued by the Institute of Chartered Accountants of India, the accounting policies adopted in the preparation of these financial statements are disclosed below.

2.1 Summary of significant accounting policies

2.1.1 **Presentation and disclosure of financial statements**

These financial statements have been presented in accordance with the Division I of Schedule III to the Companies Act, 2013.

2.1.2 **Accounting Convention:**

These financial statements are prepared under the historical cost convention.

2.1.3 **Method of Accounting:**

As required by Section 128(1) of the Act, these financial statements are prepared in accordance with the accrual method of accounting with revenues recognized and expenses accounted on their accrual including provisions / adjustments for committed obligations and amounts determined as payable or receivable during the period.

2.1.4 **Use of Estimates:**

The preparation of financial statements in conformity with Indian GAAP requires the management to make judgements, estimates and assumptions, that affect the application of accounting policies and the reported amounts of assets and liabilities and disclosures of contingent liabilities at the date of the end of the reporting periods and the reported amounts of revenues and expenses for the reporting periods. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods.

Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised.

2.1.5 **Consistency:**

These financial statements have been prepared on a basis consistent with previous years and accounting policies not specifically referred hereto are consistent with generally accepted accounting principles.

2.1.6 **Contingencies and Events occurring after the Balance Sheet Date:**

AS 4 issued by the Institute of Chartered Accountants of India is not applicable since there are no such contingencies nor events.

2.1.7 **Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies:**

The Company's Profit & Loss Account presents profit / loss from ordinary activities. There are no extra-ordinary items or changes in accounting estimates and policies during the year under review which need to be disclosed as per AS 5 issued by the Institute of Chartered Accountants of India.

2.1.8 **Cash Flow Statements:**

Cash Flows are reported as per the Indirect Method as specified in AS 3 issued by the Institute of Chartered Accountants of India.

2.1.9 **Previous Year Figures:**

The figures for the previous year have been rearranged as follows to facilitate comparison.

2.2 **Property, plant & equipment (PPE)**

2.2.1 **Property, plant & equipment**: In accordance with AS 10 issued by the Institute of Chartered Accountants of India,

i) Tangible Fixed Assets are stated at cost of acquisition or construction net of accumulated depreciation and accumulated impairment losses, if any. In exercise of the option vested in the Company as per Para 32 of AS 10, the Company has chosen the cost model as per Para 33 of AS 10 for all items of PPE. Accordingly, the Company has not revalued the PPE.

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ii) Under Schedule III, land and building are presented as two separate classes of PPE. In contrast, paragraph 40 of AS 10 appears to be having flexibility to treat land and building either as one class or as two separate classes. It also states that a class of PPE is a grouping of assets of a similar nature and use in an entity's operations. However, in accordance with Para 60 of AS 10 and based on the nature, characteristics and risks of land and building, the management has determined that they constitute two separate classes of property for presentation in the financial statements.

iii) The Company has recognized items of property, plant & equipment (PPE) in accordance with Para 7 of AS 10 only if it is probable that future economic benefits associated with the item will flow to the entity and if the cost of acquisition or construction of the items of PPE can be measured reliably in accordance with Paras 11 to 31 of AS 10..

iv) The initial cost of PPE comprises

a its purchase price, including import duties and non-refundable purchase taxes,

b attributable borrowing cost if capitalization criteria are met

c any other directly attributable costs of bringing an asset to working condition and location for its intended use

d the present value of the expected cost for the decommissioning and removing of an asset and restoring the site after its use, if the recognition criteria for a provision are met.

e the cost of replacing part of the plant and equipment if the recognition criteria are met. When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. All other repair and maintenance costs are recognised in the statement of profit and loss as incurred.

f the cost of a major inspection for replacement of PPE, if the recognition criteria are satisfied.

v) Subsequent expenditure related to an item of fixed asset is added to its book value only if it increases the future benefits from the existing asset beyond its previously assessed standard of performance. All other expenses on existing fixed assets, including day-to-day repair and maintenance expenditure and cost of replacing parts, are changed to the statement of profit and loss for the period during which such expenses are incurred.

vi) Assets in the course of construction are capitalized in capital work in progress account. At the point when an asset is capable of operating in the manner intended by management, the cost of construction is transferred to the appropriate category of PPE. Costs associated with the commissioning of an asset are capitalised when the asset is available for use but incapable of operating at normal levels until the period of commissioning has been completed. Revenue generated from production during the trial period is credited to capital work in progress.

vii) As required by Schedule II to the Companies Act, 2013, the management estimate every year, on the basis of technical assessment, the useful life and residual value of items of PPE, if the useful life / residual value are different from that specified in Schedule II

viii) **Depreciation**

a Depreciation commences when the assets are ready for their intended use. Assets in the course of development or construction and freehold land are not depreciated.

b Depreciation is calculated on the depreciable amount, which is the cost of an asset less its residual value, at rates calculated to write off the depreciable amount of each asset on a Written down value method over its expected useful life (determined by the management based on technical estimates) or in accordance with Schedule II to the Companies Act, 2013.

c The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

d When significant spare parts of an item of PPE have different useful lives, they are accounted for as separate items (major components) of PPE.

e Major inspection and overhaul costs are depreciated over the estimated life of the economic benefit derived from such costs. The carrying amount of the remaining previous overhaul cost is charged to the statement of profit and loss if the next overhaul is undertaken earlier than the previously estimated life of the economic benefit.

f Depreciation methods, useful lives and residual values are reviewed at each financial year end and changes in estimates, if any, are accounted for prospectively.

g Leasehold land is amortized on a straight line basis over the period of the lease

ix) An item of PPE and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the income statement when the asset is derecognised.

2.2.2 **Intangible Fixed Assets**: In accordance with AS 26 issued by the Institute of Chartered Accountants of India,

i) Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in an amalgamation in the nature of purchase is their fair value as at the date of amalgamation. Following initial recognition, intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is reflected in the statement of profit and loss in the year in which the expenditure is incurred.

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ii) Intangible assets are amortized on a straight line basis over the estimated useful economic life. The company uses a rebuttable presumption that the useful life of an intangible asset will not exceed ten years from the date when the asset is available for use. If the persuasive evidence exists to the effect that useful life of an intangible asset exceeds ten years, the company amortizes the intangible asset over the best estimate of its useful life.

iii) Such intangible assets and intangible assets not yet available for use are tested for impairment annually, either individually or at the cash-generating unit level. All other intangible assets are assessed for impairment whenever there is an indication that the intangible asset may be impaired.

iv) The amortization period and the amortization method are reviewed at least at each financial year end. If the expected useful life of the asset is significantly different from previous estimates, the amortization period is changed accordingly.

v) If there has been a significant change in the expected pattern of economic benefits from the asset, the amortization method is changed to reflect the changed pattern. Such changes are accounted for in accordance with AS 5 Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies.

vi) Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the asset is derecognized

2.2.3 **Impairment of tangible and intangible assets:** In accordance with AS 28 issued by the Institute of Chartered Accountants of India,

i) The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the recoverable amount of the asset. Such recoverable amount is the higher of an asset's or cash-generating unit's (CGU) net selling price and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

ii) The company bases its impairment calculation on detailed budgets and forecast calculations which are prepared separately for each of the company's cash-generating units to which the individual assets are allocated. These budgets and forecast calculations are generally covering a period of five years. For longer periods, a long term growth rate is calculated and applied to project future cash flows after the fifth year.

iii) Impairment losses of continuing operations, including impairment on inventories, are recognized in the statement of profit and loss, except for previously revalued tangible fixed assets, where the revaluation was taken to revaluation reserve. In this case, the impairment is also recognized in the revaluation reserve up to the amount of any previous revaluation.

iv) After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

v) An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the company estimates the asset's or cash-generating unit's recoverable amount.

vi) A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit and loss unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

2.2.4 **Investments:** In accordance with AS 13 issued by the Institute of Chartered Accountants of India,

i) Investments, which are readily realizable and intended to be held for not more than one year from the date on which such investments are made, are classified as current investments. All other investments are classified as long-term investments.

ii) On initial recognition, all investments are measured at cost. The cost comprises purchase price and directly attributable acquisition charges such as brokerage, fees and duties. If an investment is acquired, or partly acquired, by the issue of shares or other securities, the acquisition cost is the fair value of the securities issued. If an investment is acquired in exchange for another asset, the acquisition is determined by reference to the fair value of the asset given up or by reference to the fair value of the investment acquired, whichever is more clearly evident.

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Current investments are carried in the financial statements at lower of cost and fair value determined on an individual investment basis. Long-term investments are carried at cost. However, provision for diminution in value is

iii) made to recognize a decline other than temporary in the value of the investments.

On disposal of an investment, the difference between its carrying amount and net disposal proceeds is charged or

iv) credited to the statement of profit and loss.

An investment in land or buildings, which is not intended to be occupied substantially for use by, or in the operations of, the company, is classified as investment property. Investment properties are stated at cost, net of accumulated

v) depreciation and accumulated impairment losses, if any.

The cost comprises purchase price, borrowing costs if capitalization criteria are met and directly attributable cost of bringing the investment property to its working condition for the intended use. Any trade discounts and rebates are

vi) deducted in arriving at the purchase price.

Depreciation on building component of investment property is calculated on a straight-line basis using the rate arrived at based on the useful life estimated by the management, or that prescribed under the Schedule II to the

vii) Companies Act, 2013, whichever is higher.

On disposal of an investment, the difference between its carrying amount and net disposal proceeds is charged or

viii) credited to the statement of profit and loss.

ix) The company operates one defined benefit plan for its employees, viz., gratuity. The costs of providing benefits under this plan are determined on the basis of actuarial valuation at each year-end. Separate actuarial valuation is carried out for each plan using the projected unit credit method. Actuarial gains and losses for both defined benefit plans are not recognized in full in the period in which they occur in the statement of profit and loss.

2.2.5 **Borrowing Costs:** In accordance with Accounting Standard 16 issued by the Institute of Chartered Accountants of India,

i) Borrowing cost includes interest, amortization of ancillary costs incurred in connection with the arrangement of borrowings and exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the interest cost.

ii) A qualifying asset is an asset is an asset that necessarily requires a substantial period of time to get ready for its intended use or sale.

iii) borrowing costs that are attributable to the acquisition, construction or production of qualifying assets are capitalized as part of the cost of such assets. All other borrowing costs are recognized as an expense in the period in which those are incurred.

2.3 **Inventories:** In accordance with Accounting Standard 2 issued by the Institute of Chartered Accountants of India,

i) Raw materials, components, stores and spares are valued at lower of cost and net realizable value (as certified by the management) after providing for the cost of obsolescence.

However, materials and other items held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost. Cost of raw materials, components and stores and spares is determined on FIFO basis.

ii) Work-in-progress and finished goods are valued at lower of cost and net realizable value (as certified by the management). Cost includes direct materials and labour and a proportion of manufacturing overheads based on normal operating capacity.

iii) Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and estimated costs necessary to make the sale.

2.4 **Revenue Recognition:** In accordance with AS 9 issued by the Institute of Chartered Accountants of India

i) Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company, provided it is not unreasonable to expect ultimate collection and no significant uncertainty exists regarding the amount of consideration. The following specific recognition criteria must also be met before revenue is recognized.

ii) Revenue from sale of goods is recognized when all the significant risks and rewards of ownership of the goods have been passed to the buyer, usually on delivery of the goods. The company collects GSTon behalf of the government and, therefore, these are not economic benefits flowing to the company. Hence, they are excluded from revenue.

iv) Revenues from maintenance contracts are recognized pro-rata over the period of the contract as and when services are rendered. The company collects service tax on behalf of the government and, therefore, it is not an economic benefit flowing to the company. Hence, it is excluded from revenue.

v) Interest income is recognized on a time proportion basis taking into account the amount outstanding and the applicable interest rate. Interest income is included under the head "other income" in the statement of profit and loss.

vi) Dividend income is recognized when the company's right to receive dividend is established by the reporting date.

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2.5 **Tax Expense:** In accordance with Accounting Standard 22 issued by the Institute of Chartered Accountants of India,

i) Tax expense comprises current and deferred tax.

ii) Current income-tax is measured at the amount expected to be paid to the tax authorities in accordance with the Income-tax Act, 1961 enacted in India and tax laws prevailing in the respective tax jurisdictions where the company operates. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date. Current income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit and loss.

iii) Deferred tax assets and liabilities are recognized for future tax consequences attributable to the timing differences between taxable income and accounting income that are capable of reversal in one or more subsequent periods and are measured using tax rates enacted or substantively enacted as at the balance sheet date. Deferred income tax relating to items recognized directly in equity is recognized in equity and not in the statement of profit and loss.

iv) Deferred tax liabilities are recognized for all taxable timing differences. Deferred tax assets are recognized for deductible timing differences only to the extent that there is reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realized. In situations where the company has unabsorbed depreciation or carry forward tax losses, all deferred tax assets are recognized only if there is virtual certainty supported by convincing evidence that they can be realized against future taxable profits.

v) In the situations where the company is entitled to a tax holiday under the Income-tax Act, 1961 enacted in India or tax laws prevailing in the respective tax jurisdictions where it operates, no deferred tax (asset or liability) is recognized in respect of timing differences which reverse during the tax holiday period, to the extent the company's gross total income is subject to the deduction during the tax holiday period. Deferred tax in respect of timing differences which reverse after the tax holiday period is recognized in the year in which the timing differences originate. However, the company restricts recognition of deferred tax assets to the extent that it has become reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which such deferred tax assets can be realized. For recognition of deferred taxes, the timing differences which originate first are considered to reverse first.

vi) At each reporting date, the company re-assesses unrecognized deferred tax assets. It recognizes unrecognized deferred tax asset to the extent that it has become reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which such deferred tax assets can be realized.

vii) The carrying amount of deferred tax assets are reviewed at each reporting date. The company writes-down the carrying amount of deferred tax asset to the extent that it is no longer reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available against which deferred tax asset can be realized. Any such write-down is reversed to the extent that it becomes reasonably certain or virtually certain, as the case may be, that sufficient future taxable income will be available.

viii) Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set-off current tax assets against current tax liabilities and the deferred tax assets and deferred taxes relate to the same taxable entity and the same taxation authority.

ix) Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax. The company recognizes MAT credit available for a particular assessment year as an asset only after the assessment for that year is complete and such credit is finally quantified and only to the extent that there is convincing evidence that the company will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the company recognizes MAT credit as an asset in accordance with the Guidance Note on Accounting for Credit Available in respect of Minimum Alternative Tax under the Income-tax Act, 1961, the said asset is created by way of credit to the statement of profit and loss and shown as "MAT Credit Entitlement" under the head "Current Assets". The company reviews the "MAT credit entitlement" asset at each reporting date and writes down its carrying amount to the extent such credit is set-off u/s 115JAA or to the extent the company does not have convincing evidence that it will pay normal tax during the specified period.

2.6 **Retirement and other employee benefits:** In accordance with Accounting Standard 15 issued by the Institute of Chartered Accountants of India,

i) **Defined Contribution Plans :** Retirement benefit in the form of provident fund is a defined contribution scheme. The contributions to the provident fund are charged to the statement of profit and loss for the year when the contributions are due. The company has no obligation, other than the contribution payable to the provident fund. The company's contributions to Defined Contribution Plans are charged to the Profit & Loss Account as and when incurred.

ii) **Defined Benefit Plans :** The Company provides for gratuity, a defined benefit retirement plan. The plan provides a lump sum payment to vested employees, at retirement or termination of employment, an amount based on the respective employees last drawn salary and the years of employment with the Company. Liability/ (Asset) with regard to gratuity is accrued based on actuarial valuations at the balance sheet date, carried out by an independent actuary. Gains and losses arising out of actuarial valuations are recognized immediately in the Profit and Loss account as income or expense.

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iii) **Provision for Compensation absences :** The Company does not have a policy of allowing accumulation of leave. Therefore no provision has made in this regard.

iv) The Company does not have a voluntary retirement scheme for its employees & termination benefits are recognized as an expense as and when incurred.

2.7 **Earnings Per Share:** In accordance with Accounting Standard 20, issued by the Institute of Chartered Accountants of India.

i) Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders (after deducting preference dividends and attributable taxes) by the weighted average number of equity shares outstanding during the period. Partly paid equity shares are treated as a fraction of an equity share to the extent that they are entitled to participate in dividends relative to a fully paid equity share during the reporting period. The weighted average number of equity shares outstanding during the period is adjusted for events such as bonus issue, bonus element in a rights issue, share split, and reverse share split (consolidation of shares) that have changed the number of equity shares outstanding, without a corresponding change in resources.

ii) For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effects of all dilutive potential equity shares, except where the results are anti-dilutive.

2.8 **Provisions:** In accordance with Accounting Standard 29 issued by the Institute of Chartered Accountants of India.

i) A provision is recognized when the company has a present obligation as a result of past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are not discounted to their present value and are determined based on the best estimate required to settle the obligation at the reporting date. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates. Where the company expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the statement of profit and loss net of any reimbursement.

iv) **Warranty provisions:** Provisions for warranty-related costs are recognized when the product is sold or service provided. Provision is based on historical experience. The estimate of such warranty-related costs is revised annually.

2.9 **Contingent Liabilities and Contingent Assets:** In accordance with Accounting Standard 29 issued by the Institute of Chartered Accountants of India.

i) A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognized because it cannot be measured reliably. The company does not recognize a contingent liability but discloses its existence in the financial statements.

ii) Contingent assets are not recognized.

2.10 Leases: In accordance with Accounting Standard 19, issued by the Institute of Chartered Accountants of India.

A Where the company is lessee

i) Finance leases, which effectively transfer to the company substantially all the risks and benefits incidental to ownership of the leased item, are capitalized at the inception of the lease term at the lower of the fair value of the leased property and present value of minimum lease payments. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognized as finance costs in the statement of profit and loss. Lease management fees, legal charges and other initial direct costs of lease are capitalized.

ii) A leased asset is depreciated on a straight-line basis over the useful life of the asset or the useful life envisaged in Schedule XIV to the Companies Act, 1956, whichever is lower. However, if there is no reasonable certainty that the company will obtain the ownership by the end of the lease term, the capitalized asset is depreciated on a straight-line basis over the shorter of the estimated useful life of the asset, the lease term or the useful life envisaged in Schedule XIV to the Companies Act, 1956.

iii) Leases, where the lessor effectively retains substantially all the risks and benefits of ownership of the leased item, are classified as operating leases. Operating lease payments are recognized as an expense in the statement of profit and loss on a straight-line basis over the lease term.

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B Where the company is the lessor

i) Leases in which the company transfers substantially all the risks and benefits of ownership of the asset are classified as finance leases. Assets given under finance lease are recognized as a receivable at an amount equal to the net investment in the lease. After initial recognition, the company apportions lease rentals between the principal repayment and interest income so as to achieve a constant periodic rate of return on the net investment outstanding in respect of the finance lease. The interest income is recognized in the statement of profit and loss. Initial direct costs such as legal costs, brokerage costs, etc. are recognized immediately in the statement of profit and loss.

ii) Leases in which the company does not transfer substantially all the risks and benefits of ownership of the asset are classified as operating leases. Assets subject to operating leases are included in fixed assets. Lease income on an operating lease is recognized in the statement of profit and loss on a straight-line basis over the lease term. Costs, including depreciation, are recognized as an expense in the statement of profit and loss. Initial direct costs such as legal costs, brokerage costs, etc. are recognized immediately in the statement of profit and loss.

2.11 **Accounting Standards not applicable to the Company during the year under review:**

i) **Construction Contracts:** AS 7 is not applicable since the Company is not engaged in execution of construction contracts

ii) **Accounting for Government Grants**: AS 12 is not applicable since the Company has not received any Government Grants

iii) **Accounting for Amalgamations**: AS 14 is not applicable since the Company has not so far entered into any amalgamation.

iv) **Accounting for Foreign Exchange** : AS 11 is not applicable since the Company has not so far entered into any foreign exchange contract.

v) **Discontinuing Operations:** AS 24 is not applicable since the Company has not so far discontinued operations.

vi) **Segment Reporting:** AS 17 is not applicable since the Company has not operate different geographical areas.

vii) **Consolidated Financial Statements:** AS 21 is not applicable since the Company has not any subsidiary.

vii) **Accounting for Investments in Associates in Consolidated Financial statements:** AS 23 is not applicable since the Company has not Investments in Associates.

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